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The Minister of Social Affairs and Employment
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Date

March 3, 2022

Our reference

z2022-336

Your letter dated

January 19, 2022

Your reference

2022-11460

Subject

Advice on the amvb data exchange NOW

Dear Ms. van Gennip,

In your letter dated January 19, 2022, the Authority for Personal Data (AP) was consulted based on the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR), regarding the draft decision to amend the SUWI Decree in connection with providing a legal basis for data processing for the implementation of subsidies for the payment of wage costs and fixed expenses in extraordinary circumstances (hereinafter: the draft).

The AP has a number of comments on the draft and advises that these should be taken into account.

Scope of the draft

The data to be processed relates to:

a.

the determination of the NOW-1 and -2 subsidies¹

In calculating the amount of the NOW subsidy, the decrease in revenue is taken as the starting point and multiplied by the reference wage sum from January 2020.

1 NOW-1 and -2 are subsidy schemes that assist employers with their wage costs, in order to maintain employment during the coronavirus crisis. Both schemes have an advance and determination system. The employer applies for both the advance and the determination at the UWV. To quickly provide employers with wage support at the beginning of the coronavirus crisis, it was decided during the establishment of the NOW to grant employers an advance of 80% of the application, which is settled with the definitively determined subsidy amount after the determination. The determination of the subsidy amount therefore takes place afterwards.

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If NOW-1 and -2 recipients also receive TVL–subsidy², then the amount received in TVL subsidy counts towards the calculation of the revenue of NOW-1 and -2. As a result, a received TVL subsidy leads to a lower revenue loss, which affects the amount of the determination of the subsidy amounts of NOW-1 and -2.

The ability to exchange data for the control of revenue contributes to the correct determination of the requested NOW subsidies. The gained efficiency is that instead of employers having to provide data, the data can be delivered in a streamlined manner from the Ministry of Economic Affairs and Climate (EZK) to the Ministry of Social Affairs and Employment (SZW). Additionally, recipients of NOW-1 and -2 subsidies have more certainty of a correct determination of their NOW subsidies because the data on TVL subsidies is provided directly from the Netherlands Enterprise Agency (RVO)³, as it can be assumed that the established TVL subsidy data provided by RVO is correct. If employers themselves provide the TVL data to UWV for the determination, this could also encourage abuse and improper use, as a higher revenue loss means a higher NOW subsidy. The direct exchange of data between RVO and SZW for the control of revenue in the determination process reduces that risk.

This data exchange⁴ is regulated in the proposed Article 5.2c, introductory phrase and under a, of the SUWI Decree and in the existing Article 54, paragraph 11, of the SUWI Act.

b.
the implementation of the so-called case table

The case table is an elaboration of the motion by Aartsen regarding debt issues related to the coronavirus support measures.⁵ The purpose of the case table is for the implementing organizations UWV, RVO, and the Tax and Customs Administration to identify employers who are at risk of encountering problems due to simultaneous recoveries related to coronavirus support by all three organizations. By discussing the cases across organizations, the entrepreneur may be able to find a joint solution.

2 Compensation for Fixed Costs; see TVL Compensation for Fixed Costs | RVO | Netherlands Enterprise Agency.

3 RVO is part of EZK.

4 The following data is involved:

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The names of the companies that received TVL in the first application period TVL (June, July, August, and September 2020) and in the second application period TVL (October, November, and December 2020). These application periods of the TVL overlap with the application periods of NOW-1 and -2;

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The status of the TVL subsidy: established or not established;

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The amount of the TVL subsidy;

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The Chamber of Commerce numbers of the companies and of the group;

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Legal entities and Partnerships Information number (NvT p. 3).

This advice is limited to data of legal entities and of non-legal entities where a natural person acts in the exercise of a profession or business, such as a sole proprietorship. This data is personal data as referred to in Article 4, under 1, GDPR, insofar as it can be traced back to a natural person.

⁵ Parliamentary Papers II 2020/21, 35420, no. 285.

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This consultation will take place at the initiative of one of the implementing organizations, provided that certain conditions are met:

- the employer has debts with at least two of the three involved government agencies;
- this situation has arisen due to the recovery of excessive support granted from the COVID-19 support packages;

- the internal standard procedure must have been followed and is found to be insufficient to assist the employer.

To facilitate this consultation, it is important that the involved parties can share data with each other: if one of the three parties decides that a case is suitable for the case discussion table, that party will bring the case to the case discussion table, and during this consultation, the case will be discussed, and the relevant data will be shared with the other two organizations.⁶

The data provision from EZK to UWV is regulated in the proposed Article 5.2c, introductory clause and under b, Decision SUWI. The data provision from UWV to EZK is regulated in the proposed Article 5.11a Decision SUWI. The data provision by the Tax Authority to UWV is regulated in the existing Article 54, third paragraph, under b, Act SUWI. The basis for the data provision by UWV and EZK to the Tax Authority and the provision of data by the Tax Authority to EZK is not mentioned in the draft.

All data – thus both regarding (a) and (b) – will be retained for 7 years after the last decision regarding the scheme. The bases created for the data provisions between SZW/UWV and EZK will be undone in due course due to their temporary (crisis) nature.⁷

6 The following data is involved:

- Company name;
- Company address;
- Phone number or email address;
- Name of the business owner;
- Legal entities and Collaborations Information number;
- Chamber of Commerce number;
- For each claim: the amount of the claim and the date the claim arose;
- Agreements made/that have been made regarding repayment;
- Presence of other debts (if self-reported);
- Amount of the debt with the relevant government agency;
- The treatment strategy within the own (implementing) organization regarding the relevant case;
- The cause or reason and background of financial problems (NvT p. 4).

The advice is limited to data of legal entities and of non-legal entities where a natural person acts in the exercise of a profession or business, such as a sole proprietorship. This data constitutes personal data as referred to in Article 4, under 1, GDPR, insofar as it can be traced back to a natural person.

7 Parts D-I of the draft decision. It is expected that the basis for data processing (a) may expire in November 2023. The expiration of the basis for data processing (b) is expected to be possible only later, for example, on December 31, 2024. The exact expiration dates are not included in the draft decision, as they are not yet known.

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Advice

Consent of the entrepreneur for discussion of their debt situation at the case study table
In the response of State Secretary Vijlbrief (Finance – Taxation and Tax Administration) to questions from Members of Parliament Idsinga and Aartsen regarding the report “Entrepreneurs with payment arrangements for corona tax debts left to the gods,” it is indicated that the case study consultation takes place “at the initiative of one of the implementing organizations, but only after this has been discussed with the entrepreneur and they have given their consent [emphasis AP].”⁸

In the Explanatory Memorandum, the following is noted:

“To enable [the case study table], it is important that the parties involved can share data with each other. Simply asking for consent from entrepreneurs to share their data in this manner does not

provide a valid basis for this data sharing under the General Data Protection Regulation (hereinafter: GDPR). This is because entrepreneurs, as subsidy recipients (debtors), are in a dependent relationship with the implementing organizations (creditors) and therefore cannot respond freely to such a request. For this reason, the basis has been created in this AMvB [underlining AP].”⁹ The AP deduces from the above that the entrepreneur will always be asked for consent, but that this consent does not qualify as a “valid” GDPR basis in this case, because it is not given “freely” due to a dependency relationship between the entrepreneur (data subject) and the implementing organizations (data controllers).¹⁰ This may be prompted by Recital 43 of the GDPR, which states:

“To ensure that consent is given freely, consent should not be considered a valid legal basis for the processing of personal data in a specific case when there is a clear imbalance between the data subject and the data controller, particularly when the data controller is a public authority, and this makes it unlikely that consent has been given freely in all circumstances of that specific situation.”

The European Data Protection Board (EDPB)¹¹ states in its Guidelines on consent the following about consent in the relationship between data subject and government organization:

“Recital 43 clearly indicates that it is unlikely that public authorities can rely on consent for processing as whenever the controller is a public authority, there is often a clear imbalance of power in the relationship between the controller and the data subject. It is also clear in most cases that the data subject will have no realistic alternatives to accepting the processing.”

8 Parliamentary question with answer 2021-2022, no. 339, p. 4 (October 15, 2021).

9 Explanatory Memorandum p. 3.

10 Article 6, paragraph 1, under a, and Article 4, under 11, GDPR.

11 See <https://edpb.europa.eu>.

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(terms) of this controller. The EDPB considers that there are other lawful bases¹² that are, in principle, more appropriate to the activity of public authorities. Without prejudice to these general considerations, the use of consent as a lawful basis for data processing by public authorities is not totally excluded under the legal framework of the GDPR.”¹³

Without intending to undermine the importance of the voluntariness of consent and, in that context, the care with which this must be assessed in a governmental context, the AP notes that it is not entirely excluded that in special situations consent to a government as a basis for processing may still be possible. Since the case law consultation is solely intended to be an additional service - which is not part of the execution of the statutory task - that is only provided if the entrepreneur has given consent for it, it is not excluded that such a special situation - provided that the voluntariness can also be well safeguarded in practice - may occur here. From the perspective of the citizen's control over their data, consent in such an exceptional situation may then possibly take precedence over legislation as a basis. In any case, it is of great importance in this context that the additional service is only provided if it is clear that the entrepreneur wants it themselves. If there is hesitation about whether consent can be requested in practice in a manner and form that meets the high requirements set by the GDPR, then requesting specific consent tailored to this situation should at least be included as an additional safeguard in the law. In that case, there remains the legal basis, but an additional safeguard is provided for the entrepreneur's control over the desirability of the service.

The AP advises to remove the case law table from the legislation if the processing can be organized on the basis of consent in a form and manner that guarantees its voluntariness. If there is hesitation about this, the AP advises to include a specific form of consent by the entrepreneur regarding the handling of their case at the case law table as an appropriate safeguard in the legislation.

Legal basis for data exchange with the Tax Authority (case law table)

The explanatory memorandum indicates that the case law table consists of UWV, RVO (EZK), and the Tax Authority. The legal bases for the data provision from RVO (EZK) to UWV, from UWV to EZK, and from the Tax Authority to UWV are all mentioned. However, the legal basis for the data provision by UWV and RVO (EZK) to the Tax Authority and the provision of data by the Tax Authority to RVO (EZK) is missing.

If the processing cannot be based on consent (see previous paragraph), then the AP advises to indicate in the explanatory memorandum what the basis is for the data provision by UWV and EZK to the Tax Authority and the provision of data by the Tax Authority to EZK.

12 By "the other lawful bases," the EDPB refers to the bases in Article 6, paragraph 1, under c and e of the GDPR (Guidelines 05/2020, p. 8, footnote 16).

13 Guidelines 05/2020, p. 8.

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Retention period

The explanatory memorandum indicates that the data will be retained for 7 years after the last decision regarding the scheme¹⁴.¹⁵ The explanatory memorandum does not explain why the data must be retained for so long.

A retention period of 7 years must be justified in the explanatory memorandum. Furthermore, in cases where the explanatory memorandum specifies very precisely what the retention period is, this retention period should be included in the scheme itself¹⁶, unless it is shown in the explanatory memorandum that it is an already existing legal period.¹⁷

The AP advises to justify the retention period in the explanatory memorandum and to include it in the scheme itself if necessary.

Disclosure of the advice

The AP intends to make this advice public on the website www.autoriteitpersoonsgegevens.nl as soon as the text of the (amended) draft is made public. The AP would like to know the moment when disclosure is expected, as soon as this is known.

Yours sincerely,

Dutch Data Protection Authority,

Aleid Wolfsen

Chairman

14 NOW-1, NOW-2 or TVL.

15 Explanatory memorandum p. 5.

16 Guidelines for legislation 4.47.

17 For example, due to the Archives Act.